EXECUTIVE COMMITTEE / STRATEGY RESET PAPER 09

From Last-Mile Ecosystem to PSS Acceptance 360

A modular, bank-centric merchant acceptance infrastructure-as-a-service model

STRATEGIC RECOMMENDATION

Replace the proposed national agent-and-merchant network as the immediate investment model. Preserve its inclusion mission, but commercialise reusable bank acceptance services built on PSS's current assets.

18 October 2026 | Version 1.0 | Independent analytical proposal for PSS Executive Committee consideration

Evidence distinction: "Publicly reported" describes a regulator, provider, or company publication; "proposed" describes the new design; "not verified internally" means no PSS transaction records, licence copies, member-bank contracts, cost data or independent product certification have been examined.

Decision in one minute

Question	Recommendation
Keep original model?	Keep the objective and principles; replace its immediate commercial and implementation design.
What should PSS sell?	Bank-funded acceptance and merchant operations infrastructure, not a speculative national network.
What should PSS own?	Merchant orchestration/experience, bank integrations, reconciliation, exceptions, reports, contracted support.
What must PSS not duplicate?	National switching / EthQR rules, bank KYC authority, deposit custody, lending and a separate agent network.
What to authorise today?	A time-bound, cost-capped 90-day redesign and feasibility programme; live pilot funding later.

1 Why the reset is necessary

PSS publicly repositioned itself in August 2026 from a switch to a wider digital-payment technology institution, reporting POS and gateway licences, SoftPOS/PSS Pay, 3-D Secure capability and a separate PSS Trading technology arm. The CEO reports PSS Secure in service with seven banks [S1-S2]. These statements establish a credible asset base, but exact licences, integration rights, operating performance, scheme approvals and fee entitlements require internal verification.

The user-supplied Volume 1 identified Ethiopia's acceptance gap and proposed PSS as a neutral orchestrator for merchants and agents. That is a strong problem framing, but the national shared-agent effort is a separate policy initiative and no contracted PSS revenue or acquisition economics were provided [S3-S4]. A blank-sheet national network would risk duplicating both member-bank activity and EthSwitch's national rail role.

The national strategy landing page still identifies the 2026–2030 document as a draft as of this review [S3]. Its proposals on merchant acceptance, future MDR, QR interchange and shared agents should shape positioning, not be represented as effective approvals or secured funding.

2 Options decision

Option	Strategic fit	Capital/coordination burden	Decision
A. Original national ecosystem	Medium	Very high; multi-bank and agents	Do not fund now
B. SoftPOS-only roll-out	Good but card/device-constrained	Medium	Retain as a module
C. Generic gateway competitor	Existing licence path	Competitive, commoditised	Do not lead with this
D. Bank-centric modular platform	Highest integration with PSS assets	Staged; depends on buyer	SELECT FOR FEASIBILITY
E. Reconciliation-only bank utility	Clear bank problem if proven	Lower entry burden	Fallback / first paid module

This is a qualitative management judgement, not a scored market study. In particular, no evidence yet shows that a member bank will purchase option D or E at viable prices.

3 The proposed operating model

Working name: PSS Acceptance 360. Customer: regulated acquiring banks and financial institutions, under contracts defining whose customers/merchants they serve. Beneficiaries: merchants. PSS role: licensed processor, POS/gateway operator and technology service provider to the extent its confirmed licence terms permit. PSS must not claim authority to hold customer deposits or approve KYC or credit simply because a draft strategy contemplates future changes.

3.1 Four product layers

Layer	What it delivers	Authority boundary
A. Accept	PSS Pay SoftPOS on eligible devices; bank/EthQR acceptance presentation, plus existing POS where justified.	Card schemes, acquiring bank and QR scheme control authorisation and acceptance.
B. Connect	Certified bank adapters, gateway interfaces, bank merchant IDs, tenant configuration, rail-neutral status orchestration.	Use national switching/QR rails; never create a shadow national switch.
C. Operate	Transaction history, payment-status verification, terminal/device control, reversals, exceptions, reconciliation, disputes and support cases.	Bank remains account/settlement authority; payment completion requires trusted rail confirmation.
D. Grow	Merchant reporting, receipts, basic sales data, optional inventory integrations, bank-branded value-add and performance data.	No PSS lending decision, customer-data resale or profiling without lawful authority.

3.2 Separate product lines that should not be confused

- PSS Pay: face-to-face contactless card acceptance, subject to the exact certified mobile payment configuration and device eligibility. A QR payment is not automatically a SoftPOS/card payment.

- PSS Secure: 3-D Secure / card-not-present authentication for relevant e-commerce flows; this must not be described as necessary for QR or face-to-face tap payments. PSS reported PCI 3DS as-a-service in January 2026 [S5].
- PSS Trading: optional technology/implementation supplier; prices, procurement, IP ownership, related-party conflicts and service liabilities must be documented at arm's length.
- EthSwitch: national rails, interoperable QR and applicable scheme rules. PSS integrates; it does not claim national switch or shared-agent governance functions.

4 One merchant journey, with safe transaction states

Bank-sponsored merchant onboarding -> bank identity/KYC decision -> PSS tenant provisioning and merchant configuration -> QR or eligible tap acceptance -> rail request -> verified issuer/acquirer outcome -> merchant notification -> clearing/settlement by authorised participants -> bank/PSS reconciliation and exceptions -> support, evidence and reporting.

Every transaction must have a durable idempotency key, correlation/rail references, immutable audit timestamps and one of explicit statuses: INITIATED, PENDING, CONFIRMED, FAILED, REVERSED or NEEDS_RECONCILIATION. Timeout means PENDING, not PAID. No local phone/app success indicator can override unverified bank/switch status. A bank-specific source-of-truth hierarchy and finality rules must be signed before pilot.

5 Who benefits, who pays, why they should buy

Party	Value delivered	Potential payment / incentive
Bank buyer	One integration; lower device/acquisition cost; merchant retention; operational traceability; improved support.	Contracted minimum platform fee, onboarding/adapter fee, activity and module fees.
PSS	Reusable interfaces, switching/gateway volumes on permitted rails, recurring service income.	Charges agreed with each bank; no unapproved interchange or automatic merchant MDR.
Merchant	Multi-rail payments where available, reliable confirmation, reporting and support.	Simple low-cost access; pricing subject to bank contracts and current law.
EthSwitch / networks	More legitimate interoperable usage.	Scheme interchange/network economics under applicable rules.
PSS Trading	Implementation/equipment/security work where competitively justified.	Separately priced and governed; not presumed part of PSS margin.

Proposed commercial waterfall: Annual contracted revenue = non-refundable implementation fees recognised as appropriate + bank minimum SaaS/operating commitments + active merchant fees + approved transaction processing fees + optional licensed service fees. Contribution = collected revenue minus direct rail, certification, cloud, support, device and bank servicing cost. Do not recognise conditional grant funding, unapproved MDR, cross-sell commissions or future credit income in the base case.

Bank investment case must compare the model to its actual next-best alternative: bank internal rollout, an existing gateway provider, direct QR tooling and existing POS fleet. The bank's avoided costs and incremental commercial value must exceed its new PSS charges and integration costs. Mere acceptance coverage does not demonstrate willingness to pay.

6 A commercially realistic beachhead

- Start with one sponsoring bank that has merchant-acquiring ambition, accountable product/risk owners and authority to enter an indicative pricing agreement.
- Choose one trading corridor or city cluster using actual existing PSS Pay merchant density, bank branch/acquiring reach, customer payment mix, network reliability, merchant ticket distribution and support costs. Do not pre-select geography for optics.
- Recruit a mixed small cohort from high-frequency merchants (small shops, pharmacies, service traders) plus a comparator segment; avoid broad national representativeness claims from an exploratory sample.
- Make simple QR/account acceptance and bank reporting a separate device-light path; offer certified SoftPOS only to eligible merchants. Any mobile-wallet integration requires lawful partner interfaces and terms.
- Only test a second bank / second cluster after the first one demonstrates a repeatable onboarding and per-merchant cost model.

7 90-day feasibility reset and sequential gates

Stage	Required evidence	Approval consequence
Days 0–30: Discover	PSS licence copies and partner contracts; PSS Pay usage/declines; PCI/scheme scope; product/tenant map; data access controls.	Complete baseline and initial regulatory gap log.
Days 31–60: Design	At least one nonbinding sponsor bank with price range; merchant/customer field interviews; counterfactual bank costs; interoperable rail/adapter feasibility.	Approve one vertical + one cluster and architecture shortlist.
Days 61–90: Investability	Contract-ready bank commercial terms, PSS and bank unit economics, cyber/legal review, testing plan, independent challenge memo.	Explicit Gate 1 decision: stop, re-scope or fund limited controlled pilot.
Post-90 only if funded	Limited non-production validation then controlled live pilot where licensed, with incident, reconciliation and consumer safeguards.	Gate 2/3/4 remain separate approvals; no automatic scale.

8 Gate criteria: values versus evidence

The Committee should approve thresholds before a live pilot, not after outcomes are observed. Recommended measurement families: (1) funded bank purchase commitment, (2) fully loaded 36-month contribution / NPV and cash runway, (3) repeat monthly active merchant use by cohort, (4) cost per activated merchant, (5) bank reconciliation ageing and correct finality, (6) incident rate, card/QR failure and merchant complaints, (7) no material unresolved regulatory or PCI qualification, (8) demonstrable margin improvement versus the bank's existing approach.

Illustrative hard safeguards for consideration: zero known false-success customer confirmations; 100% traceability of transaction identities; no unresolved high-severity security exposure; no live funds flows outside authorised rails; and no unapproved use of personal data. Numerical commercial thresholds must be calculated from sponsor-bank willingness-to-pay and PSS actual cost evidence, not invented nationally.

9 Financial implication of the previous draft model

The preceding illustrative workbook's reference month assumed 900 active merchants, ETB 201,875 revenue and ETB 306,750 operating cost: an ETB 104,875 shortfall before onboarding/integration costs. Under the SAME inputs, monthly break-even required approximately 2,613 active merchants, or the bank fee per active merchant rising from ETB 150 to ETB 266.53 (other assumptions held constant). These are scenario arithmetic, not a PSS forecast. A new bank minimum-fee / modular service model would require a wholly rebuilt, customer-by-customer cost and cash-flow analysis before the break-even figures are reused.

10 Governance and delivery model

Decision / activity	Bank	PSS	PSS Trading	NBE / schemes
Merchant KYC and account	Accountable	Workflow facilitation	No authority	Rule-setting/oversight
Pricing and legal contract	Accountable for bank offer	Commercial partner	Vendor contract only	Applicable constraints
Payment switching / rail rules	Bank/acquirer interface	Permitted technical processing	No rail authority	EthSwitch / scheme roles
Reconciliation, reporting	Settlement source of truth	Technical reconciliation service	Optional services	Regulatory requirements
Data protection	Jointly scoped responsibilities	Jointly scoped responsibilities	Processor where contracted	Law / supervisor
Platform security and uptime	Third-party oversight	Operational accountability	Supplier obligations	Certification as applicable

PSS neutrality must be evidenced in governance: published participant eligibility, bank-segregated tenancy, equitable commercial terms, related-party procurement controls, merchant-data access restrictions, conflict and competition review, and independent operational assurance. PSS bank-ownership does not by itself prove neutral treatment of non-shareholder banks.

11 Three replacement Executive Committee decisions

DECISION 1 — APPROVE STRATEGY RESET AND FEASIBILITY MANDATE. Endorse PSS Acceptance 360 as an unapproved design hypothesis to be assessed over 90 days. Authorise only a separately costed feasibility allocation within a CFO-confirmed cap and procurement rules. Prohibit binding vendor purchase, national product announcement, live-merchant expansion or capital deployment without a further recorded approval.

DECISION 2 — AUTHORISE SPONSOR-BANK AND CORRIDOR TESTING. Permit management to solicit one lead acquiring bank for a nonbinding commercial term sheet and nominate one primary corridor plus one research comparator. No acquiring or live-pilot commitment is presumed, and any pilot requires signed responsibility, fee, loss allocation and escalation arrangements.

DECISION 3 — AUTHORISE CONTROLLED DATA, SECURITY AND REGULATORY REVIEW. Direct Legal, Compliance, CISO and bank counsel to prepare written data-processing terms and confirm actual licence permissions, PCI/scheme coverage, national QR interfaces and supervisory consultation needs. Personal and transaction-level data may be accessed only under documented lawful basis, least privilege, retention and audit safeguards.

12 Non-negotiable stop conditions

- No bank sponsor with an economic buyer and written acceptable price range by the end of feasibility.
- Core economics rely on speculative MDR, subsidy, unapproved agent income or unexplained wallet/interchange access.

- No permitted certification or scheme approval for the precise SoftPOS/device/acquiring setup used.
- Unresolved licence, bank outsourcing, custody, consumer-protection or data-protection obstacle.
- Platform cannot guarantee transaction confirmation correctness, idempotency, reversal traceability or settlement reconciliation.
- PSS duplicates national scheme/agent infrastructure without regulator-led role clarity or a signed differentiated commercial purpose.

13 Decision-grade documents still required

Artifact	Owner	Proof required
Current-state PSS product + licence map	Technology + Legal	Actual contracts, licences and scheme certificates
PSS Pay cohort/transaction audit	Product + Finance	Merchant actives, device eligibility, costs, outcomes
Bank willingness-to-pay & counterfactual	Business Development	Sponsor LOI and negotiated price range
Architecture and integration design	Technology + EthSwitch/banks	Sequence diagrams, sign-offs, controls and integration costs
Legal / data protection impact assessment	Legal + CISO	Written scope and enforceable mitigations
36-month bank-and-PSS investment model	Finance	Signed assumptions, risk-adjusted sensitivities, cash flow
Procurement/related-party appraisal	Procurement + Board committees	Independent make-buy-partner and PSS Trading tests
Pilot charter, customer safeguards and live go/no-go	Operations + Risk	Owner, gates, kill-switches, incident and remediation plan

14 My vote and final recommendation

FOR a limited and costed 90-day strategic/product feasibility mandate. AGAINST funding a national merchant-and-agent platform on the current evidence. The Committee should require the buyer, economics and operational responsibility chain to be proven before asking technology to build another platform.

If the bank will purchase merchant operations and reconciliation but not full multi-channel acceptance, start with that narrower product. If no bank purchases even the narrow service at a sustainable price, do not proceed merely to meet a coverage target.

Source and provenance register

S1 PSS CEO company update (Aug/Sep 2026), claimed licences, SoftPOS, seven PSS Secure banks and PSS Trading — https://www.linkedin.com/posts/amhatadesse_pss-premierswitchsolutions-rebranding-activity-7499304707589357568-BMtC

S2 Ethiopian Business Review, PSS August 2026 rebrand report (press release reporting) — https://ethiopianbusinessreview.net/premier-switch-solutions-unveils-new-brand-identity-after-14-years-launches-smartphone-tap-to-pay-service-in-ethiopian-market/

S3 NBE, draft NDPS 2026–2030 landing — https://nbe.gov.et/ndps/

S4 NBE, PSO/PII register (current public record; PSS additional licence documents not seen) — https://nbe.gov.et/payment-instrument-issuers-system-operators/

S5 PSS official company social post, PCI 3DS-as-a-service announcement (company reported) — https://www.linkedin.com/posts/premierswitchsolutions_pss-pci3ds-3dsecure-activity-7419976671094751232-mlyr

S6 EthSwitch FY 2025/26 results and 2026 institutional updates — https://ethswitch.com/2026/

S7 PCI SSC, authoritative MPoC solution listings — https://listings.pcisecuritystandards.org/assessors_and_solutions/mpoc_solutions?agree=true

S8 Ministry of Justice, Personal Data Protection Proclamation 1321/2024 — https://justice.gov.et/en/law/personal-data-protection-proclamation/

S9 Source package, Last-Mile Acceptance Ecosystem on PSS Infrastructure, Volume 1, 18 October 2026 — User attachment; this file contains A–B7 only; Parts C–G cited but not supplied.

S10 Prior pre-feasibility review and illustrative workbook from the same conversation — Prior derived analytical drafts, not verified PSS financial records.

Compliance and product certification interpretation: source publications are not a substitute for documents signed by PSS Legal, the acquiring banks, PCI security assessor, scheme and NBE as appropriate. Sources considered as of 18 October 2026.